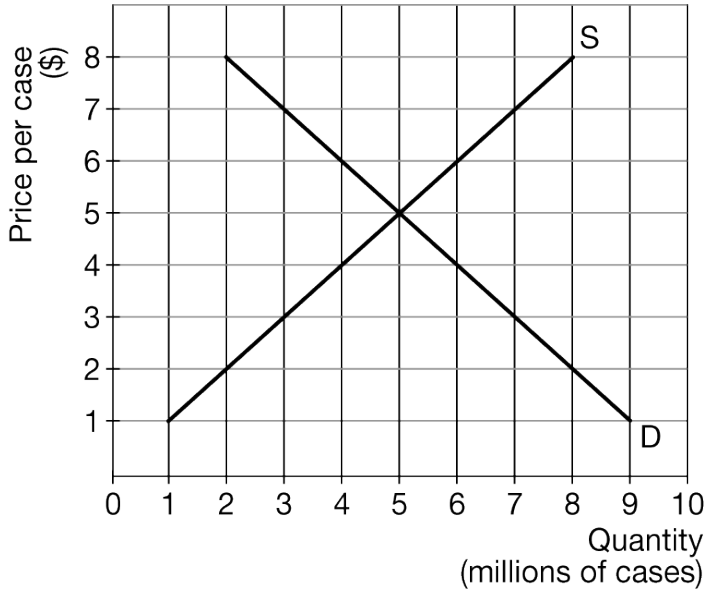
Unit 2 Progress Check: FRQ

Include correctly labeled diagrams, if useful or required, in explaining your answers. A correctly labeled diagram must have all axes and curves clearly labeled and must show directional changes. If the question prompts you to "Calculate," you must show how you arrived at your final answer.



Assume that sugar-based soft drinks are produced in a market shown on the graph above. Answer the following questions based on the information given in the graph.

(a) To reduce the consumption of sugary soft drinks, suppose the government imposes a $2 per-unit sales tax on soft drinks.

(i) Will the price of soft drinks increase by the full amount of the per-unit sales tax? Explain.

(ii) Calculate the tax revenue the government can collect from the sale of soft drinks. Show your work.

(iii) Will the consumer surplus increase, decrease, or stay the same after the per-unit sales tax?

(iv) Calculate the deadweight loss created by the per-unit sales tax. Show your work.

(b) Suppose that instead of imposing the per-unit sales tax, the government sets a price ceiling of $7. Identify the quantity of soft drinks that will be exchanged in the market as a result of the price ceiling. Explain.

1. Respond to all parts of the question.

Include correctly labeled diagrams, if useful or required, in explaining your answers. A correctly labeled diagram must have all axes and curves clearly labeled and must show directional changes. If the question prompts you to "Calculate," you must show how you arrived at your final answer.

Assume that Grainland currently produces wheat and does not trade wheat in international markets.

Unit 2 Progress Check: FRQ

(a) Draw a correctly labeled demand and supply graph for the domestic wheat market in Grainland. Label the equilibrium price, P_e, and the equilibrium quantity, Q_e.

(b) Suppose the price of wheat in the world market is lower than the domestic price of wheat in Grainland. Assume now Grainland wants to trade wheat in the world market.

(i) On your graph from part (a), label the world market price of wheat as P_W, and identify the domestic quantity demanded of wheat at P_W, as Q_3, and the domestic quantity supplied of wheat labeled as Q_1.

(ii) Will Grainland export or import wheat? Explain.

(c) With international trade in wheat, who will benefit in Grainland: domestic producers, domestic consumers, neither or both? Explain.

(d) Suppose that the government of Grainland decides to provide a subsidy for wheat farmers to make the country more competitive and sell wheat at the world market price so that all wheat is produced domestically. Show the effect of the subsidy on your graph in part (a).

2. Respond to all parts of the question.